

JSW Energy Ltd

JSWENERGY · Energy

ROE

8.3%

ROCE

7.2%

Net Profit Margin

15.0%

Debt-to-Equity

1.52

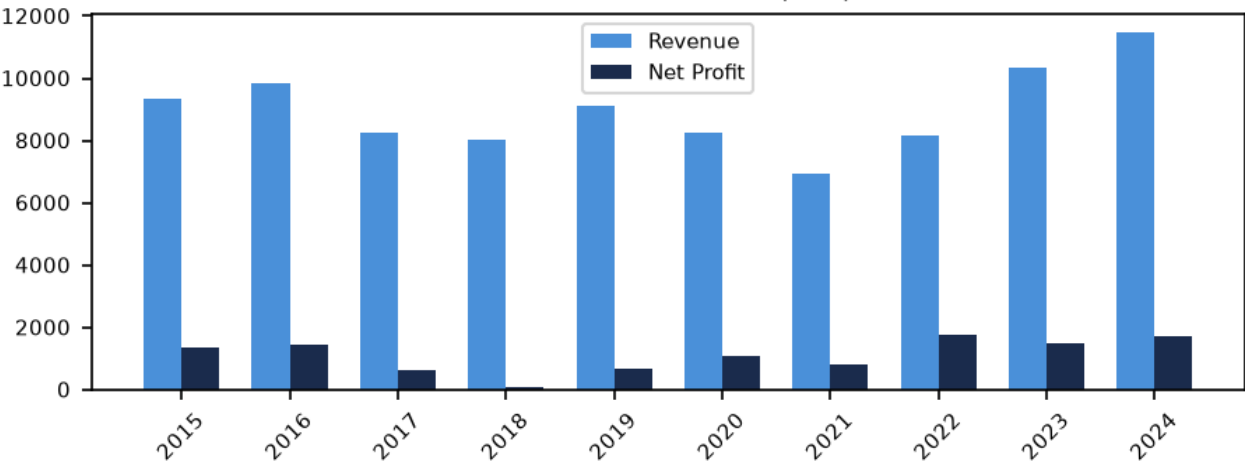
Revenue CAGR (5yr)

4.7%

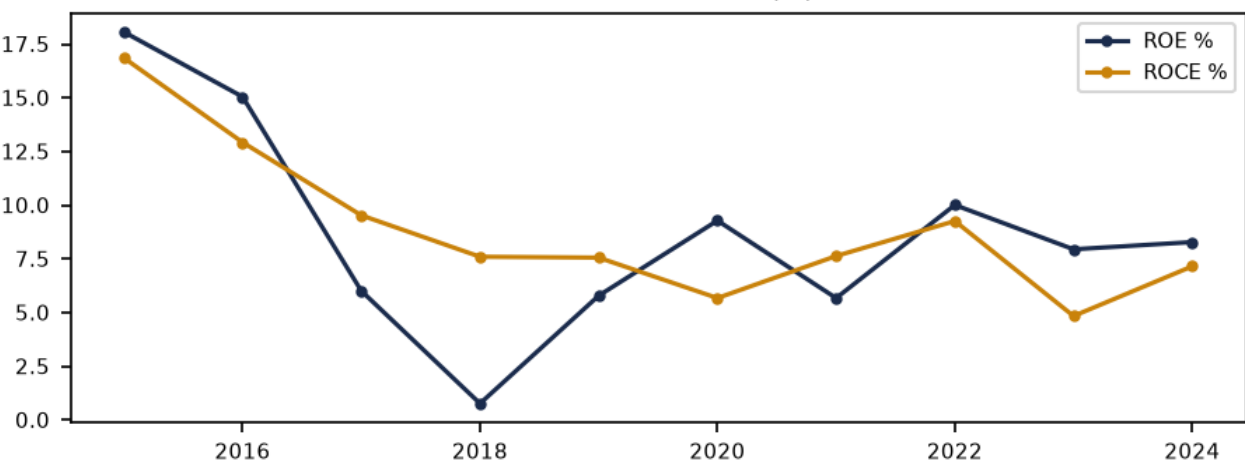
Free Cash Flow

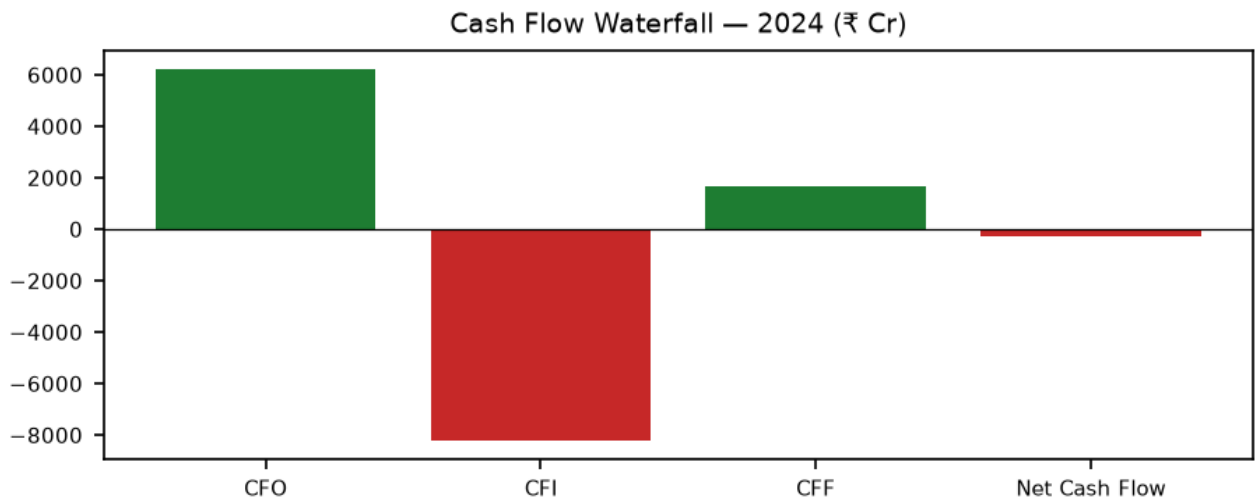
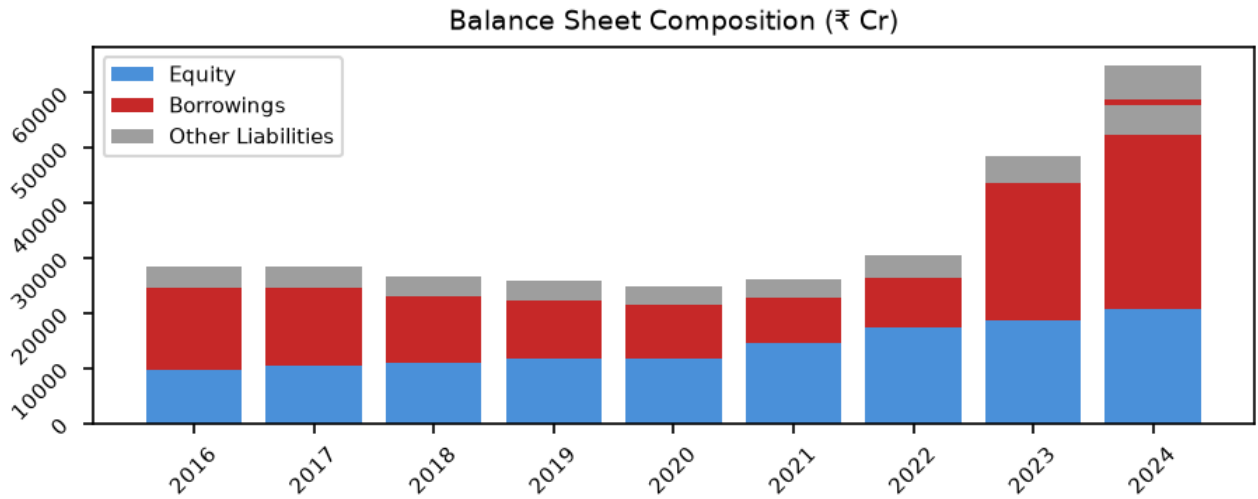
■ -1,963 Cr

Revenue vs Net Profit (₹ Cr)



ROE vs ROCE Trend (%)





Pros

- ✓ Growing asset base funded by internal accruals reflects self-sustaining growth
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits
- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value

Cons

- ✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- ✗ Gross debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- ✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- ✗ Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum

Capital Allocation: Growth Financing